

Claim Rules & Processing Guide (INDIA) | Currency: INR



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1. CLAIM ELIGIBILITY RULES

1.1 BASIC ELIGIBILITY CRITERIA

- Policyholder must have active, non-lapsed coverage at time of loss - Loss must have occurred during the policy period - Claim must be filed within policy-specified timeframe (typically 30-90 days) - Loss must be covered under the policy terms - Claimant must be named insured, spouse, or authorized representative - Compliance with IRDA guidelines mandatory

1.2 COVERAGE ACTIVATION RULES

- Most policies effective date is the policy issuance date - 24-hour waiting period applies for some coverage types (e.g., first claim) - Named insured must comply with all policy conditions - Coverage lapses immediately upon non-payment beyond grace period - Reinstatement within 30 days possible; after that, new application required

1.3 AUTOMATIC DISQUALIFICATION RULES

Claims automatically denied if: - Loss results from excluded perils (war, terrorism, nuclear hazard) - Intentional fraud or misrepresentation by claimant - Loss directly caused by policyholder's criminal act - Coverage was cancelled before loss date - Policy payment fraudulently stopped - Claimant had knowledge of loss before policy inception - Loss due to non-compliance with policy conditions

1.4 MISREPRESENTATION RULES (IRDA Compliant)

- Material misrepresentation can void coverage - Innocent misrepresentation forgiven after 2 years of policy issuance - Fraudulent misrepresentation allows immediate cancellation - Examples: False health history, incorrect vehicle use, undisclosed occupational hazards - Misrepresentation defense limited to 2 years (per Insurance Act) ---

2. CLAIM FILING RULES

2.1 PROOF OF LOSS REQUIREMENTS

All claims require: - Original claim form (signed by claimant) - Proof of coverage (policy document or renewal notice) - Proof of loss (documentation supporting claim) - Claimant identification and contact information - PAN/Aadhaar for claims > ₹1,00,000

2.2 DOCUMENTATION REQUIREMENTS BY TYPE

AUTO INSURANCE CLAIMS: - Police accident report/FIR (mandatory for accidents) - Accident photos (vehicle damage, multiple angles) - Scene photos and nearby landmarks - Other driver's name, contact, license, vehicle registration - Other driver's insurance details and policy number - Witness names and contact information - Medical records (for injury claims) - Repair estimates (minimum 2 quotes from authorized centers) - Previous repair history - Vehicle RC book and insurance proof - Driving license copy

HOME INSURANCE CLAIMS: - Original claim form with affidavit (for claims > ₹50,000) - Proof of loss (itemized list with photos) - Photos of damaged property and surrounding area - Original receipts or purchase documentation - Proof of replacement cost (contractor estimates) - Police report (for theft/vandalism - mandatory) - Inventory of damaged items with values - Property ownership proof (deed, sale agreement) - Building approval/compliance certificate - Previous repair records

HEALTH INSURANCE CLAIMS: - Itemized hospital/medical bills - Explanation of Benefits (EOB) - Medical record excerpts - Prescription receipts - Hospital discharge summary (for inpatient) - Lab test reports and pathology reports - Pre-authorization approval (if required) - Photo ID and health card copy

LIFE INSURANCE CLAIMS: - Original death certificate - Certified copy of death certificate (minimum 2) - Claim form signed by beneficiary - Beneficiary identification proof (Aadhaar/PAN) - Medical examiner report (if death < 6 months of policy) - Police report (for accidental/suspicious death) - Post-mortem report (if applicable) - Burial/cremation proof

2.3 CLAIM FILING TIMELINE REQUIREMENTS

- Notice of loss: Within 30 days of discovery (or as soon as practicable) - Proof of loss submission: Within 90 days of loss - Emergency claims (life safety): Immediate notification required - Missing documentation: 30-day period to submit additional materials - Claims not filed within timeframe may be forfeited (per policy terms) - Extension available on request with valid reasons

2.4 CLAIMS ADMINISTRATION RULES

- Claimant must cooperate fully with investigation - Claimant must submit for medical examination if requested (health/life claims) - Claimant must allow property inspection by adjuster - Claimant cannot dispose of damaged property without approval - Claims cannot be assigned without written consent - Subrogation rights reserved for company - Confidentiality maintained for all claimants ---

3. CLAIM PROCESSING PROCEDURES

3.1 INITIAL CLAIM INTAKE (Days 0-1)

Step 1: Claim registration - Record claim number (used for all correspondence) - Note date/time of claim receipt - Verify coverage validity at loss date - Record claimant contact information and preferred communication mode - Assign claim to adjuster Step 2: Preliminary assessment - Determine claim type and urgency level - Identify obviously excluded/fraudulent claims - Estimate processing timeframe - Send acknowledgment within 24 hours (per IRDA requirement) Step 3: Information request - Request necessary documentation - Specify deadline for submission (10-15 days) - Advise of potential investigation if claim >■5,00,000

3.2 INVESTIGATION PHASE (Days 1-30)

Step 1: Documentation review - Verify all required documents received - Request clarification if incomplete - Confirm coverage details match loss description - Cross-reference with claims history Step 2: Investigation execution - Assign claims adjuster and/or investigator - Property inspection (for property claims) - Medical review (for health claims) - Interview claimant, witnesses, service providers - Verify loss amount and causation Step 3: Fraud assessment - Screen claim against fraud indicators - Check claimant history for pattern claims - Verify documentation authenticity - Investigate inconsistencies or red flags

3.3 VALUATION PHASE (Days 10-20)

Step 1: Damage/loss valuation - Obtain repair estimates (minimum 2 from authorized centers) - Determine repair vs. replace decision - Calculate depreciation (if applicable) - Review market values and ICV (Insured Declared Value) Step 2: Coverage analysis - Confirm loss falls within covered perils - Apply deductible (per policy terms) - Check coverage limits and sub-limits - Identify exclusions or relevant endorsements Step 3: Reserve establishment - Set initial claim reserve (estimated payout) - Adjust reserve as investigation progresses - Flag potential reserve inadequacy - Communicate reserve estimate to claimant

3.4 DETERMINATION PHASE (Days 20-30)

Step 1: Coverage determination Coverage decision options: - APPROVED: Loss is covered, proceed to settlement - PARTIAL: Partial coverage approved (document exclusions) - DENIED: Loss is not covered (document reason code with references) - PENDING: Awaiting additional information Step 2: Settlement approval - Prepare detailed settlement statement - Calculate final payment amount - Obtain supervisor approval (>■2,50,000) - Prepare denial letter with appeal process Step 3: Claimant notification - Notify claimant of decision within 30 days (per IRDA mandate) - Provide detailed settlement explanation - Include appeal rights and timeframe - Provide claim reference numbers and contact details

3.5 PAYMENT PHASE (Days 25-40)

Step 1: Payment processing - Issue payment via bank transfer, cheque, or demand draft - Confirm payment method with claimant preference - Track payment receipt - Record payment in system with date
Step 2: Subrogation assessment (if applicable) - Identify third-party liability - Reserve right of recovery - Coordinate with claimant - Establish subrogation account
Step 3: Close-out procedures - Require claim release/waiver (if settlement > ₹2,50,000) - File all documentation securely - Update claim status to CLOSED - Generate final claim report per IRDA guidelines ---

4. SETTLEMENT RULES & CALCULATIONS

4.1 VALUATION METHODS

ACTUAL CASH VALUE (ACV): Formula: $ACV = \text{Replacement Cost Value (RCV)} - \text{Depreciation}$ - Used for older property/items - Reflects current market value - Depreciation factors: age, condition, wear & tear - Example: 5-year-old refrigerator, original cost ₹40,000, depreciation 40% = ₹24,000
INSURED DECLARED VALUE (IDV): - Used for auto insurance policies - Declared value of vehicle at policy inception - ACV cannot exceed IDV in settlement - Example: IDV ₹6,00,000, ACV calculated as ₹6,00,000 maximum
REPLACEMENT COST VALUE (RCV): - Full cost to replace with similar new item - No depreciation applied - Used for homeowners/personal property coverage with rider - Example: New refrigerator to replace damaged unit = ₹45,000
REPAIR COST METHOD: - Actual cost to repair damage - Limited to pre-damage condition (not improvement) - Used for partial damage claims - Example: Car repair estimate = ₹40,000

4.2 DEDUCTIBLE APPLICATION (IRDA Compliant)

- Standard deductibles: ₹2,500, ₹5,000, ₹10,000, ₹25,000 - Deductible applied per occurrence (unless stated otherwise) - Separate deductibles for different coverage types - Some losses may have no deductible (specified in policy) - Deductible not applicable if loss < ₹5,000 (varies by policy) Example calculation: - Loss amount: ₹50,000 - Deductible: ₹5,000 - Company pays: ₹45,000

4.3 DEPRECIATION CALCULATION (Indian Market Standards)

Depreciation by category: - Electronics: 15-20% per year (max 70% total) - Furniture: 5-10% per year (max 50% total) - Appliances: 5-8% per year (max 40% total) - Structural: 0-3% per year (max 25% total) - Vehicles: 15-20% per year (max 80% total, as per motor insurance norms) Example: - Item: 3-year-old laptop, original cost ₹50,000 - Depreciation: $15\% \times 3 \text{ years} = 45\%$ - ACV: $₹50,000 - (₹50,000 \times 0.45) = ₹27,500$

4.4 POLICY LIMIT APPLICATION

- Settlement cannot exceed policy limit - Some coverages have sub-limits (lower limits) - Aggregate limits apply to multiple claims - Example: ₹20 Lakhs liability limit, single claim cannot exceed ₹20 Lakhs Example calculation: - Loss: ₹30,00,000 - Deductible: ₹10,000 - Coverage limit: ₹20,00,000 - Company pays: $\text{Min}(\text{₹30,00,000} - \text{₹10,000}, \text{₹20,00,000}) = \text{₹20,00,000}$ ---

5. SPECIAL CLAIM RULES

5.1 MULTIPLE COVERAGE COORDINATION

If loss covered by multiple policies: - Primary coverage pays first - Secondary/excess coverage coordinates - No double recovery (claimant gets full loss amount, not multiples) - Example: Auto liability covered by personal policy AND corporate policy

5.2 SUBROGATION RIGHTS (IRDA Compliant)

- Company can pursue third party at fault - Subrogation typically limited to amount paid - Claimant cooperation required - Example: Hit by uninsured vehicle, company pursues third-party assets

5.3 SALVAGE RIGHTS

- Company retains salvage from total loss vehicles - Salvage value reduces settlement - Claimant paid balance after salvage deduction - Example: Total loss vehicle worth ₹4,00,000, salvage ₹1,50,000, company pays ₹2,50,000

5.4 REPLACEMENT CLAUSES

- New appliance endorsement: No depreciation - Agreed value endorsement: Pre-agreed loss value - Replacement cost guarantee: Pays full replacement cost - Inflation guard: Increases limits annually by specified %

5.5 LOSS OF USE/ADDITIONAL COVERAGE

- Temporary living expenses (home claims) - up to 25% of dwelling coverage - Rental car reimbursement (auto claims) - typically ₹1,500-₹3,000/day - Business interruption coverage - Capped at policy limit or sub-limit ---

6. APPEAL & DISPUTE RULES (IRDA Compliant)

6.1 APPEAL PROCESS

Step 1: File appeal within 30 days of denial/settlement - Written appeal to claims supervisor - Submit new evidence or documentation - Explain basis of dispute with references
Step 2: Supervisory review (10-15 days) - Senior adjuster reviews appeal - May be independent re-evaluation - Written response to appeal provided
Step 3: Escalation (if disputed) - Escalate to manager for mediator review - Third-party mediation available (no cost to claimant) - Final company position communicated
Step 4: Independent Review (if still unresolved) - File complaint with IRDA Ombudsman - Ombudsman provides free, independent review - Decision binding on both parties

6.2 APPEAL GROUNDS

- New evidence affecting coverage - Medical evidence supporting claim value - Valuation disputes (disagreement on repair cost) - Coverage interpretation differences - Policy condition misapplication - Procedural errors in claim handling

6.3 APPRAISAL CLAUSE

- Available for valuation disputes > ₹5,00,000 - Each party appoints appraiser - Appraisers select umpire (jointly) - Majority decision is binding - Cost split 50/50 between parties (₹25,000-₹1,00,000 typical range)

6.4 IRDA OMBUDSMAN REVIEW

- Available for coverage and settlement disputes - Neutral third-party review (free for claimants) - IRDA decision binding within ₹30 Lakhs - Request online at www.irda.gov.in - Complaint must be filed within 1 year of denial

7. SPECIAL CONDITIONS

7.1 FRAUD INVESTIGATION TRIGGERS

Red flags for investigation: - Claim filed shortly after policy inception - Multiple claims in short timeframe - Loss immediately after coverage increase - Inconsistent claimant statements - Loss amount exactly at coverage limit - Suspicious circumstances or timing - Previous claim history patterns

7.2 CATASTROPHE CLAIMS

- Natural disasters (monsoon floods, earthquakes, landslides) - Expedited notice required within 48 hours - Mobile claims units deployed to affected areas - Extended processing timeline (60-90 days) - Possible reserve adjustments as damages assessed - Special IRDA provisions for catastrophe claims

7.3 HIGH-VALUE CLAIMS (>₹25,00,000)

- Mandatory independent investigation - Executive level approval required - Medical exam if applicable (health/life claims) - Enhanced documentation requirements - Director-level authorization for payment - Detailed investigation report maintained

7.4 CONTESTED CLAIMS

- Coverage is disputed or uncertain - Possible litigation anticipated - Company may deposit funds in court (if appropriate) - Claimant retains right to sue - Timeline extended pending legal resolution - Interim relief may be provided ---

8. CLAIM DENIAL REASON CODES

Common denial codes: - LAPSED: Policy lapsed at time of loss - EXCLUDED: Loss from excluded peril - NOT_COVERED: Loss type not covered under policy - FRAUD: Fraudulent claim detected - MISREPRESENT: Material misrepresentation - NO_PROOF: Insufficient documentation provided - TIMING: Filed outside allowable timeframe - LIMIT_EXCEEDED: Loss exceeds policy limits - NEGLIGENCE: Loss from claimant negligence - POLICY_CONDITION: Violation of policy conditions - INELIGIBLE: Claimant not eligible (non-owner) ---

9. COMPLIANCE & REGULATIONS (IRDA Guidelines)

9.1 STATE REGULATORY REQUIREMENTS

- Claims must be acknowledged within 10 working days (IRDA requirement) - Denial must be issued within 30 days or settle claim - All communications must be in plain language - Provide appeal rights and processes clearly - Interest on overdue claim payments (12% p.a. post 30 days, as per Insurance Act) - Compliance with Consumer Protection Act, 2019

9.2 CLAIM FILE REQUIREMENTS

- Maintain complete claim file for 7+ years - Document all communications and decisions - Track all decision points with dates - Maintain audit trail for system access - Comply with privacy regulations (DISHA compliance) - Follow RBI and IRDA data retention norms

9.3 IRDA COMPLAINT ESCALATION

- If claim unresolved, escalate to IRDA Ombudsman - Free to claimant, binding within ■30 Lakhs - Decision generally provided within 3 months - Further appeal to State Insurance Commissioner possible ---

10. CONTACT & ESCALATION

Claims Department: - Toll-Free Phone: 1800-CLAIM-NOW - Hours: 24/7 (365 days) - Email: claims@insurancecompany.co.in - WhatsApp: +91-9XXXXXXXXX - Online Portal: www.insurancecompany.co.in/claims For disputes/appeals: - Ombudsman: ombudsman@insurancecompany.co.in - Grievance Officer: grievance@insurancecompany.co.in - Appeal deadline: 30 days from denial/settlement - IRDA Ombudsman (if unresolved): www.irda.gov.in IRDA Registration Number: IA/[XXX]/2024